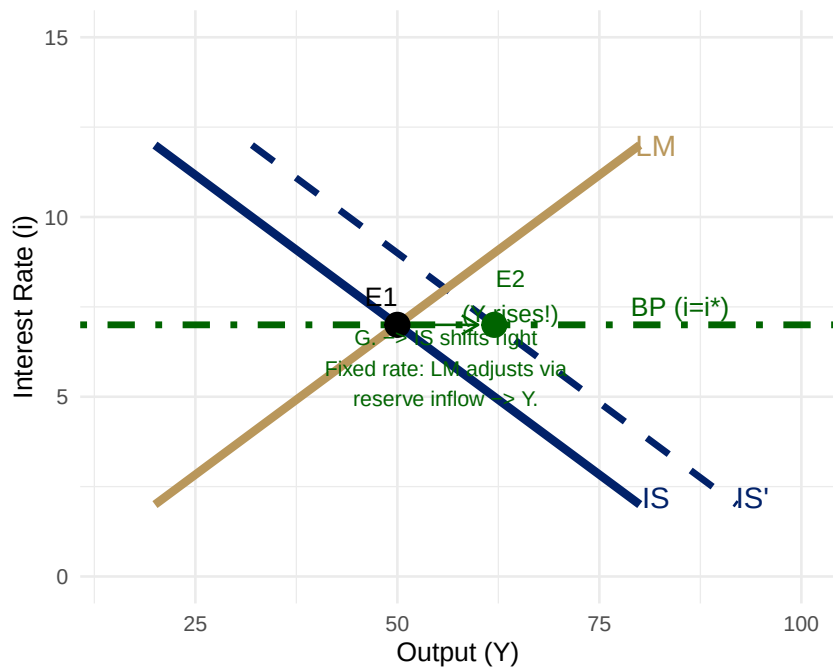


Mundell–Fleming: Fixed Exchange Rate Regime

Key result: Fiscal policy highly effective; Monetary policy completely ineffective

Fiscal Expansion (G.): EFFECTIVE

Fixed rate + capital mobility: no crowding out



Monetary Expansion (M.): INEFFECTIVE

Fixed rate: M expansion fully offset by reserve loss

